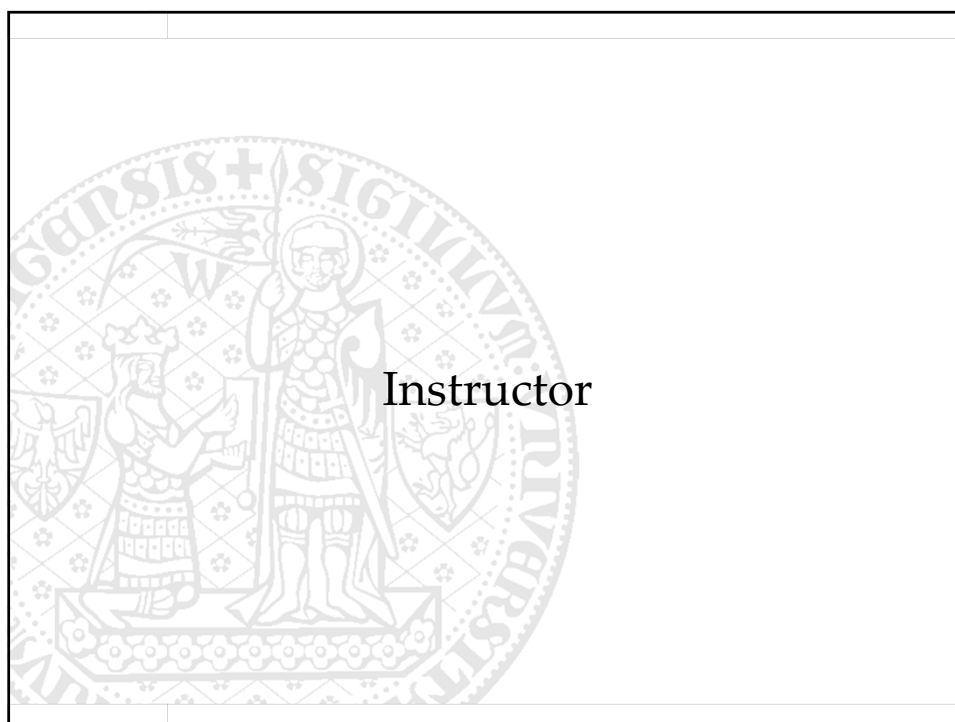
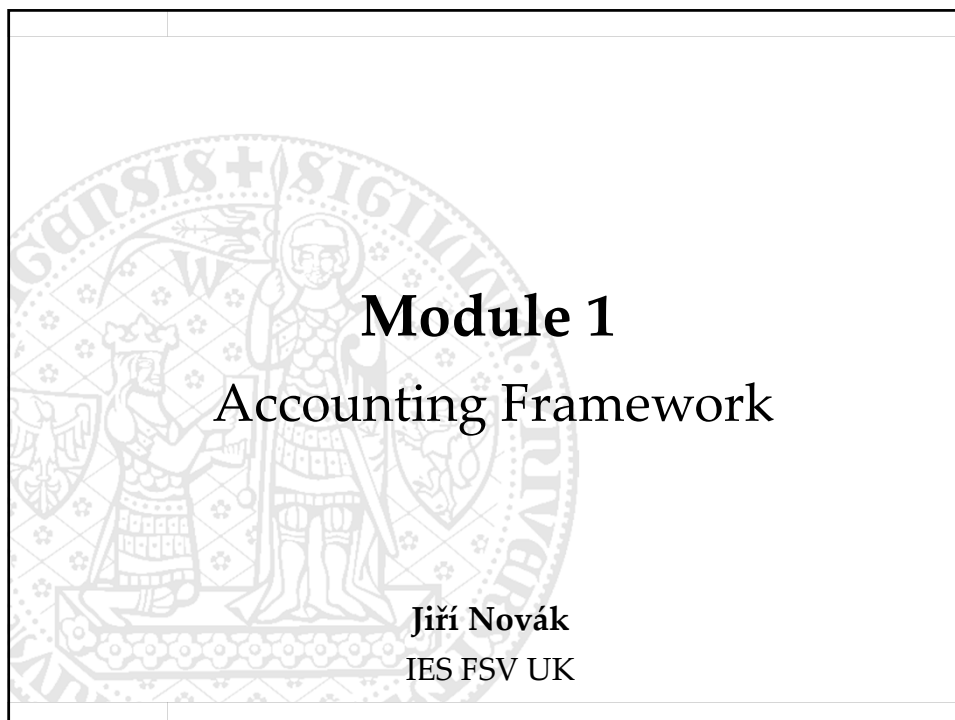






Instructor



- **Employment**
 - Charles U, Prague
 - Deloitte Corporate Chair
- **Education**
 - Uppsala U (B.A., M.A., Ph.D.)
 - Prague U Economics & Business, VŠE
- **Mobility**
 - UC Berkeley, Chicago Booth, Columbia U, McGill U, MIT Sloan, NYU Stern, Simon Fraser U, Warwick U

- 3 -



Research



- **Area**
 - empirical capital-market-based *financial accounting* research
 - *corporate finance* research on executive compensation, insider trading
- **Papers**
 - Hrazdil, Novak (2023) Executive Personality and the Gender Pay Gap. *Finance Research Letters*.
 - Hrazdil, Kim, Novak, Zatzick (2022) Managerial risk aversion and the structure of executive compensation. *Corporate Governance: An International Review*.
 - Novak, Bilinski (2018) Social Stigma and Executive Compensation. *Journal of Banking & Finance*.

- 4 -



Teaching

- **Charles University, Prague**
 - Financial Accounting (B.A.)
 - Company Valuation (M.A.)
 - Thesis Supervision (B.A., M.A.)
- **Stockholm School of Economics**
 - Corporate Finance (E.M.B.A.)
- **Uppsala University**
 - Corporate Governance (M.A.)
- **New Economic School, Moscow**
 - Financial Accounting (M.A. core)
 - Company Valuation (M.A. elective)

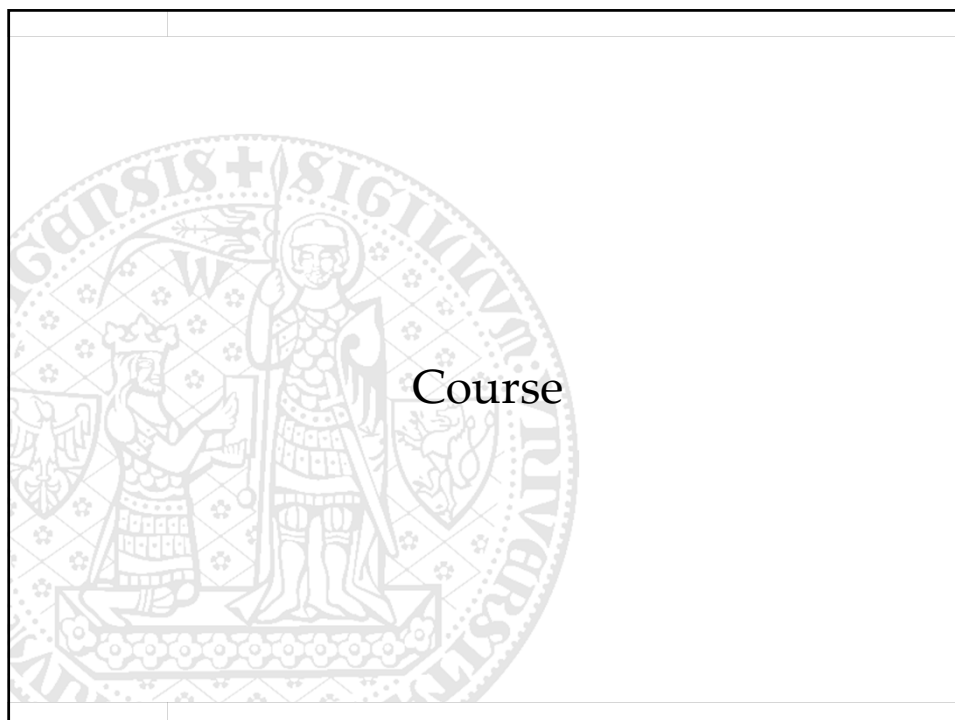
- 5 -



Interests

- **Academic Debate**
 - secondary school and university debate clubs
- **Arts**
 - drama theatre
 - modern dance
 - world music
- **Sports**
 - in-line skating
 - badminton
 - swimming

- 6 -





Course



- **Intention**
 1. *valuable* – studies should be rewarding to develop general conceptual understanding of complex financial phenomena
 2. *practical* – useful for successful professional career that uses financial reporting numbers as a “language of business”
 3. *engaging* – students should be interested in engaging and contributing to discussions
 4. *challenging* – students should be motivated to heavily exploit their ability to study

- 8 -



Course

Student Feedback

“Certainly one of the best courses I’ve had in three years at IES.”

- 9 -



Course

Student Feedback

“A fun and practical course, the best I have taken at IES so far.”

- 10 -



Course

Student Feedback

*"[What do you appreciate most in the course:]
The practical knowledge and high quality of
explanations, conversations."*

- 11 -



Course

Student Feedback

*"The best course I have taken so far while studying
at university. The quality of the lectures given by
Mr. Novák was amazing. I learned so much and the
added value of the course is really really high. The
contents of the course are perfect as well and I
finally felt that I was learning something that will
be useful for me in my future work life."*

- 12 -



Course

Student Feedback

“IES presents itself as educating future leaders, but this is the first subject in which the teacher wants us to think and express our opinions, rather than just learning how to calculate something, ideally from a formula :)).”

- 13 -



Course

Student Feedback

“Financial accounting is a really interesting area and anyone coming out of IES should have some knowledge in this area.”

- 14 -



Course

Student Feedback

"In my opinion, this was a very beneficial course, especially due to the teacher's efforts to interactively involve students in lectures and seminars. I was pleasantly surprised that it was not just about imparting knowledge, but also the lecturer's effort to understand the "big picture" and practical knowledge."

- 15 -



Course

Student Feedback

"Class discussion that motivates students to engage and enlivens the entire lecture. I also really appreciate the discussion of diverse examples and the deviation from the common situations. I think the bonus point system of the activity is just right! Overall, I rate the course very positively."

- 16 -



Course

Student Feedback

"In my opinion, if one takes the time to prepare at home, this is one of the most beneficial courses at IES. I also liked the structure, based on working out questions independently at home and then discussing them in lectures. I think it helps to really understand the topic."

- 17 -



Course

Student Feedback

"I also appreciate the lecture preludes, although it seems like a bother at the beginning, it forces you to prepare for the subject continuously and the preparation for the midterm and exam took much less time."

- 18 -



Course

Student Feedback

*"[What do you appreciate most in the course:]
Conducting lectures in the form of discussions. All
students have the opportunity to participate and
together we work through the nuances of
accounting. Although accounting is often seen as
boring, I always looked forward to the lectures
because everything made sense to me."*

- 19 -



Course

Student Feedback

*"Also I appreciate the discussion during lectures. I
did not manage to get a single bonus point during
lectures (it is just not my thing to speak up), but
still I really appreciate the fact that listening to
thoughts of my colleagues was beneficial for me.
Overall I really liked the course and (...) that it was
one of my best courses at IES so far."*

- 20 -



Course

Student Feedback

"The best thing about this course was its structure. It is really challenging to keep in track during semester, but it allows you to experience a rather unique concept of learning at IES. Nothing is served on a silver plate, you have to study the topic on your own and come to the lecture with already meaningful knowledge of the topic. At first it really bothered me, because I had no time to do homeworks (also good that they are not mandatory), but during the semester I managed to get on track and keep the speed. I think the structure of the course was overall very beneficial to me."

- 21 -



Course

Student Feedback

"The overall approach was the problem. The lectures were supposed to be sort of like a debate, which on paper sounds nice, that there would be more involvement on the side of students (who had already familiarized themselves with the material for the lecture), but that was not the case. People took that as an opportunity to ask completely irrelevant questions, were given bonus points for these, and Mr Novák spent way too much time answering these questions. (...) I believe that Mr Novák could be a wonderful lecturer, if he handled the irrelevant questions better, and also did not spend so much on oftentimes quite trivial ideas."

- 22 -



Course

Student Feedback

"Too much time is dedicated to discussions that often go far from the lecture topic. Although they can provide some interesting insights into the topic, the progress through the lecture topic was often very slow."

- 23 -



Course

Student Feedback

"There is a lot of discussion at the lectures and a lot of people express their opinion. A lot of information is mentioned and a many situations are described. However, in this amount of information, it is sometimes very difficult to keep up with what is really important and what the right answer is."

- 24 -



Course

Student Feedback

"Mr. Novák has a huge problem with the lecture schedule, he is constantly going around in circles. He tries to conduct his lectures in the form of a discussion, but it used to happen that the questions asked strayed from the topic and thus the whole lecture strayed from the topic. The benefit was therefore nil."

- 25 -



Course

Feedback

- students have *divergent* views, they may request contradictory changes
- always carefully *read* through course evaluation provided by students at the course end
- *think* through the points made and consider ways of implementing them
- *not all* suggestions can be implemented, not everyone may be completely happy

- 26 -



Course

Student Feedback

“Preludes are helpful for understanding, but I appreciate that they’re voluntary - when you don’t have time, you don’t have to do them.”

- 27 -



Course

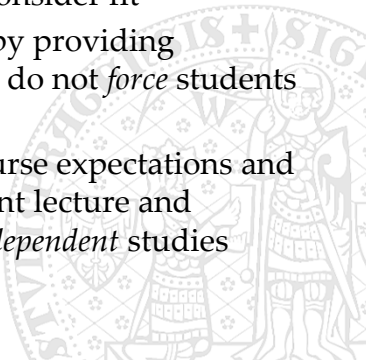
- **Initiative**
 - some students praised the *voluntary* nature of lecture preludes
 - observed many students *submitted* responses to preludes even though they were not graded
 - suggests that *intrinsic* motivation may suffice to induce sufficient learnings even with limited *extrinsic* incentives

- 28 -



Course

- **Philosophy**
 - give students *freedom* and *responsibility* to organize their studies and manage their learning process as they consider fit
 - *invite* students to engage by providing reasonable incentives, but do not *force* students to actively participate
 - inform students about course expectations and expect them to complement lecture and seminar attendance by *independent* studies



- 29 -



Course



- 30 -



Course



- 31 -



Course

- **Methods**
 - one may think that universities run boring *business model* unchanged for centuries ...
... then came the covid-19 pandemic
 - essential for *flipped classroom*, modern teaching approach, increasingly popular
 - *lecture preludes* (videos and forms) developed for online teaching during covid-19 pandemic

- 32 -



Components

- **Preludes**

- watch YouTube video and answer questions in Google Forms by 9 a.m. before the lecture
- *individual* – do not consult anyone, do not copy-paste from anywhere, do not use chatbots, etc.
- time consuming but highly *rewarding*, closely related to one of the exam questions
- no feedback, *solution* discussed at lectures, ask if you still find something unclear

- 33 -



Components

- **Preludes**

- questions:
 - *open* – structured argument
 - *multiple-choice* – best option, used in lectures
- submission of first four preludes ignored as completion of study requirements, i.e., grading only for submitting responses to preludes 5, 6, 7

- 34 -



Components

▪ Preludes

- students tend to appreciate that lecture preludes nudge them to consistently prepare for classes
- students may find working on some preludes too time consuming
- $\Rightarrow$ responding is *optional*, students may themselves decide on whether to complete them
- $\Rightarrow$ students are incentivized to respond to lecture preludes by offering *upgrades* of their grade they get at the final exam

- 35 -



Components

▪ Lectures

- provide *structured overview* of key areas, highlight *inter-relations* between concepts
- organized as *discussion* with students, active participation rewarded with *bonus points*
- *length* is unpredictable, acceptable to spend more time to ensure rich learning
- key *takeaways* shall be highlighted, ask questions if you still do not understand
- download/print out *lecture notes* posted online before lectures
- *slots* for lectures and seminar used freely, in some weeks two lectures, sometimes two sems.

- 36 -



Components

▪ Seminars

- solve exercises, discuss solutions to *case studies* on practical application
- some provided by *guests* with extensive experience in accounting (exam questions)
- read assigned case studies *in advance* and prepare ideas on the solution
- presentation *handouts* are typically provided after the seminar
- attendance is *optional* but highly recommended, active participation rewarded with *bonus points*

- 37 -



Components

▪ Participation

- participation at *lectures* and *seminars* is highly recommended but optional (with a potential exception of guest lectures and seminars)
- students are encouraged but not required to submit answers to *lecture prelude* questions
- students are encouraged but not required to engage in *discussions* at lectures and seminars
- *exercises* and *case studies* provided, discussed at seminars, but not graded

- 38 -



Components

- **Discussions**
 - students tend to appreciate the discussions in classes but they complain that these may make it harder to follow the course structure
 - students complain that discussion may sometimes use too much time and veer off the main topic covered

- 39 -



Components

- **Questions**
 - still welcome and rewarded with bonus points, but discriminate based on relevance and quality
 - when pondering a question consider:
 - *Will asking the question in class benefit others?*
 - ⇒ bonus granted for questions that are *relevant* to the topic and *interesting* for others to discuss
 - ⇒ less useful questions *relegated* to individual study and email (spend 10 – 20 mins, email me; respond individually, respond to all, recap)

- 40 -



Components

- **Discussions**
 - still welcome and rewarded with bonus points, but long discussions terminated sooner
 - ⇒ bonus granted only for responses to sufficiently *sophisticated* responses
 - ⇒ bonus granted for responses that make valuable *contributions* moving lectures forward
 - ⇒ *priority* to students with fewer bonus points

- 41 -



Engaging

- **Style**
 - interactive teaching style *engages* students and invites them to consider different perspectives
 - knowledge gained through discussion may likely be *deeper*, more *complex*, and longer *lasting*
 - key conclusions and take-aways may be less *clear*, which may be remedied by:
 - ⇒ please, speak *loud enough* for all to hear you
 - ⇒ aim to *repeat* main conclusions, ask if something remains unclear

- 42 -



Literature

- **Textbook**

- ⇒ *assign* textbook chapters to modules and use exam questions based on the textbook
- ⇒ *read* textbook chapters to clearly see the structure of the subject matter
- structure of the subject matter should be clear from the organization of a given chapter
- students should come better prepared for the lectures, some of the more trivial and less relevant discussion should be eliminated

- 43 -



Literature



- **Textbook**

- Harrison, W. T., C. T. Horngren, C. W. Thomas, W. M. Tietz, and T. Suwardy (2018) Financial Accounting: International Financial Reporting Standards. 11th edition, global edition. Pearson.
- available in the *library*, older editions are sufficient, but check chapter numbers
- examinable chapters assigned for individual modules in the course *syllabus* available at:
 - course website
 - shared online folder

- 44 -



Course

Student Feedback

"The course is really time-consuming as the weekly preludes took me around 3-4 hours, (...), of course, it pays off in the end, as the preludes are useful to have a better insight into the theory and helped me pass the course."

- 45 -



Course

Student Feedback

"I spent a lot of time with this course. It is rather hard and it is good not to underestimate it. I do not recommend to take this course at the same semester with Statistics and Math III combined. I spent approximately 6 hours a week with this course. But it was all worth it."

- 46 -



Course

Student Feedback

"It is not possible to optimize the studying process, e.g., by only studying the frequently asked-for parts of the syllabus. The student just has to have a good understanding of the underlying concepts. Overall, the course is tough and does not give anything for free."

- 47 -



Course

Student Feedback

*"[What did you dislike, what should change:]
The difficulty level. It's too difficult and an average student has a lot of trouble passing the course."*

- 48 -



Course

Student Feedback

"I believe it should be made harder. The lecturer tries to make literally everybody understand everything, which is generally good but I believe there is too much of it. We could progress much faster and cover more without it."

- 49 -



Course

Grades, ACT

Grade	EX1	EX2	EX3
A	31%	3%	6%
B	7%	13%	6%
C	7%	10%	18%
D	14%	20%	29%
E	10%	13%	18%
F	31%	40%	24%
total	100%	100%	100%

- 50 -



Learning

- **Deductive**
 - general principles → specific application (maths)
 - *closed “black and white”* system
 - definitions and axioms are used to form theorems that are either 100% correct or not
 - mastering the system involves
 - understanding the “paths” of deriving complex theorems
 - going *deep* with care for every detail rather than broad

- 51 -



Learning

- **Inductive**
 - specific situations → general pattern (law)
 - *open “shades of grey”* system
 - real life examples generalized to principles that are more or less plausible (never 100%)
 - mastering the system involves
 - understanding diverse meanings of concepts
 - understanding complex relationships
 - weighing evidence in favor & against
 - going *broad* (“bird’s eye view”) not so deep

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Learning

- **Accounting**
 - some *deductive* elements of given relationships between accounting measures
 - mostly *inductive* approach using generalization and codification of best practices weighing pros & cons of various methods
- **Learning**
 - do not (only) look at ready-made rules, think independently about the big picture
 - absence of given formulas does *not* imply that “anything goes” or all solutions are equally good

- 53 -



Course

- **Difficulty**
 - ambition to make the course *challenging*, but course should not be excessively difficult for those who find time for their studies.
 - difficulty *progressively* increases, with more “dots” the number of “links” grows fast, e.g., ~ software coding, complexity grows
 - ⇒ give students *information* relevant to avoid underestimating how challenging the course is
 - ⇒ give students *incentives* to prepare gradually throughout the term

- 54 -



Course

▪ Difficulty

- 6 credits ~ 1 full day/week (including attendance of lectures & seminars)
- optimal engagement:
 - 2 – 3 hours ... read textbook chapters, prepare solution to lecture preludes, responses to lecture questions and emailed questions
 - 3 hours ... attend and actively engage in lectures and seminars
 - 1 – 2 hours ... take notes on the past lecture, if something unclear read up in the textbook

- 55 -



Course

▪ Examination

- *written, closed-book, in-class* exam consisting of *open-ended* questions, newly created for the exam
- computation requiring *application* of knowledge, *explanation* and *motivation* of studied concepts, interconnections, and implications
- grading fairly strict, *solid* and *precise* understanding needed for high scores
- grading fully by *teaching assistant(s)* to make it as fair and independent of classes as possible

- 56 -



Course

- **Examination**

- five questions in total:

1. *preludes*,
2. *lectures*,
3. *seminars*,
4. *textbook* (topics not covered at lectures),
5. *any* of above

- few questions (used to be only two) imply that examination is inherently *selective*
- most effective preparation involves covering all areas fairly *homogenously*

- 57 -



Course

- **Examination**

- 3 attempts, week 1 – 3 – 5 of exam period, Mondays afternoon (~ 1 p.m.):
 - January 12,
 - January 26,
 - February 9.

- failed attempts can be re-taken but grade improvements are not allowed
- register for given exam date in SIS in advance, if not come anyway but place not guaranteed

- 58 -



Course

- **Grading**
 - grading based on *final exam*
 - grade *improvements* considered for engagement
 - *bonus points* – active participation in discussions at lectures and seminars, utility function of bonus is *increasing* but *concave*
 - *lecture preludes* – quality of preparation for lectures submitted before lecture handouts are provided

- 59 -



Course

- **Passing Cutoffs**

final exam	100 pts	
total	100 pts	min 51 pts
bonus & preludes		
- **Final Grades**

A	min 91 pts	
B	81 pts	
C	71 pts	
D	61 pts	
E	51 pts	

- 60 -



Communication



- **Jiri Novak**
 - Office: 402
 - Phone: +420 222 112 314
 - Email: jiri.novak@fsv.cuni.cz
 - Available: Monday, 10:00 a.m. – 12:00 a.m.
(contact me by e-mail in advance)
- **Teaching Assistants**
 - Email: jeb044@fsv.cuni.cz
(use informative “Subject” field)

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Communication

- **Email**
 - to get your weekly email check the email registered in SIS, typically 12345678@fsv.cuni.cz
 - check SPAM and junk mail
- **Google Disk**
 - “Files (ACT25, JEB044, JEM337, IES FSV UK)”

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Practical

- **CFA Program Recognition**

- Chartered Financial Analysts (CFA) Institute
- first recognized Czech university (since 2013)
- all IES programs are recognized (since 2015)
- program composition compatible with CFA candidate body of knowledge (70% overlap)
- this course is an important component of the candidate body of knowledge (CBOK)

- 63 -



Practical

- **CFA Scholarships**

- reduced exam registration fee
- selection based on: (i) past study results (GPA), interest in finance, motivation and commitment
- application deadline: June/July

- **CFA Investment Research Challenge**

- student competition in valuation
- call for applications, interview with students
- kick-off: **October 8**, VŠE, RB213
- application deadline: **October 16**
- successful participation rewarded with **6 credits**

- 64 -



Studies

Famous Quote

*"Tell me and I forget. Teach me and I remember.
Involve me and I learn."*

Benjamin Franklin
American politician, scientist

- 65 -



Studies



QUIZ TODAY!

GLASBERGEN

"Once I learn how to use Google, isn't that all the education I really need?"

- 66 -





Course

- **Objective**
 - provide *conceptual background* and *analytical tools* necessary to understand and interpret financial statements for business decisions
 - understanding of financial statements is greatly enhanced by knowing how they are prepared and what *accounting methods* are used
 - course should be *understandable* for those with little pre-knowledge and *interesting* for those with some experience with accounting

- 68 -



Accounting



- **Definition**
 - information system that captures results of complex business activities and reports them in *parsimonious* and *standardized* manner in the form of financial statements
 - *parsimonious* – huge business complexity is reduced to several resulting numbers
 - *standardized* – quite diverse companies report in the same format (useful for comparison)

- 69 -



Accounting



Users of Accounting

“Financial reporting should provide information that is useful to present and potential investors and creditors and other users in making rational investment, credit, and similar decisions. The information should be comprehensible to those who have a reasonable understanding of business and economic activities and are willing to study the information with reasonable diligence.”

Financial Accounting Standards Board (FASB)

- 70 -



Financial Statements



- **Balance Sheet**
 - captures company's *financial position* at one point in time (end of fiscal year)
- **Income Statement**
 - measures company's *economic performance* over accounting period
- **Statement of Cash Flow**
 - measures company's *cash performance* over accounting period

- 71 -



Financial Statements

- **Balance Sheet (BS)**
 - *assets (As)* – what the company “owns”
 - *liabilities (Li)* – what the company *owes* to its creditors and business partners
 - *equity (Eq)* – what the company “owes” to its owners (i.e. shareholders)

Balance Sheet	
<i>assets</i>	<i>liabilities</i>
	<i>equity</i>

- 72 -



Financial Statements

- **Income Statement (IS, P&L)**
 - measures *economic performance*, how much *value* firm created for owners over a fiscal year
 - shows *revenues* generated and *expenses* incurred

Income Statement	
<i>expenses</i>	<i>revenues</i>
<i>losses</i>	<i>gains</i>
earnings or net income or profit	

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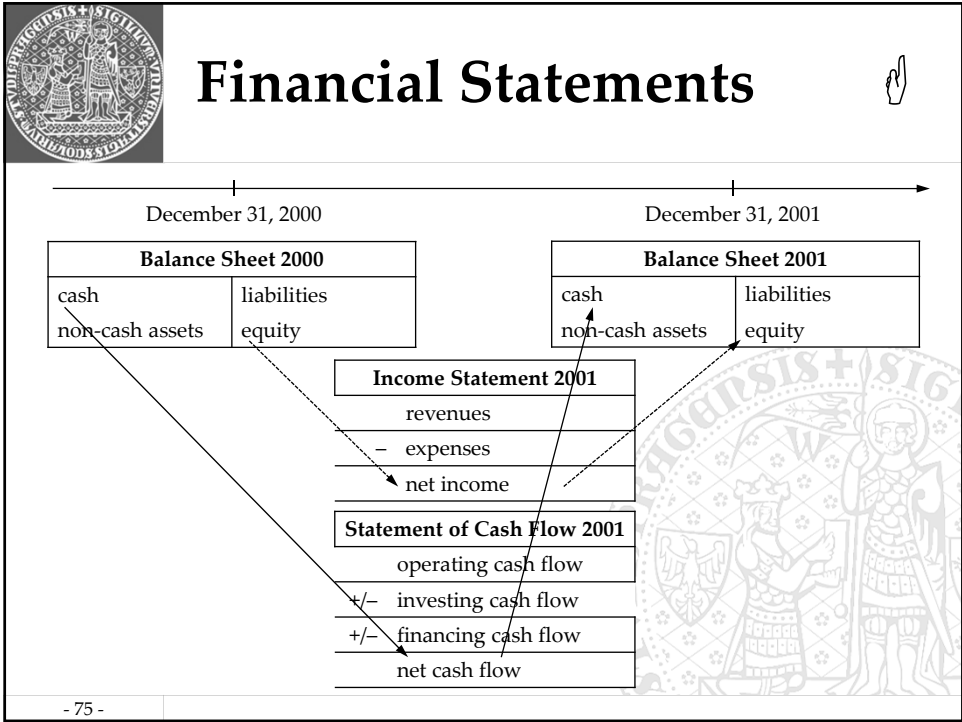


Statement of Cash Flow

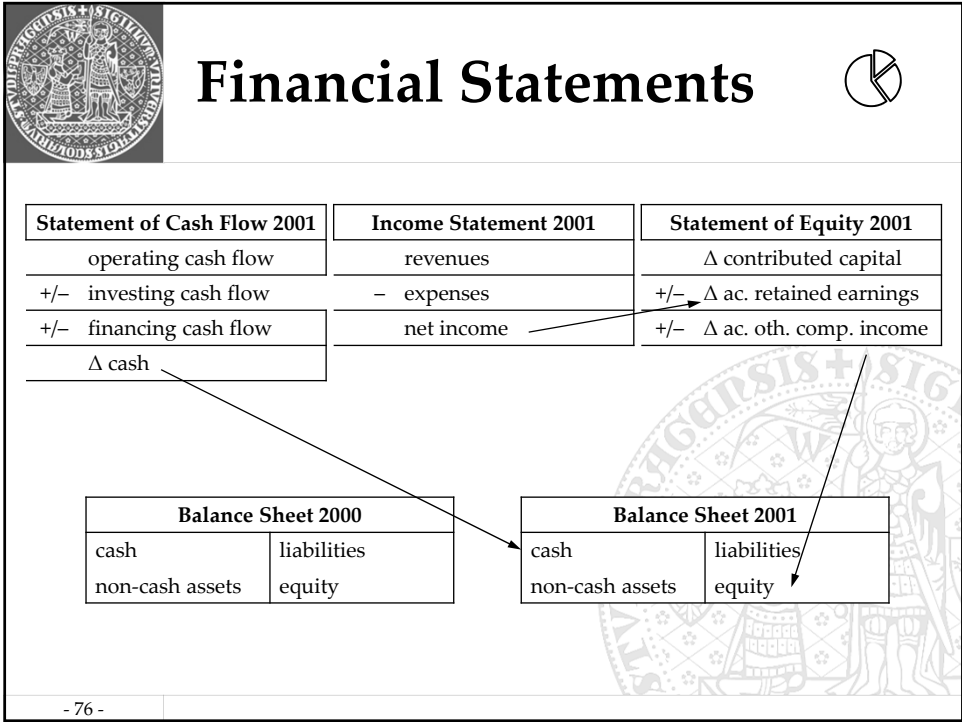
- **Statement of Cash Flow (SCF)**
 - summarizes cash *receipts* and cash *outlays* that occur during fiscal year
 - classified into *operating*, *investing*, and *financing* reflecting their purpose or nature

Statement of Cash Flow
cash flow from operating activities
+/- cash flow from investing activities
+/- cash flow from financing activities
net cash flow

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- 75 -



- 76 -



Account

▪ Definition

- *account of events* ~ chronological record of what happened, e.g. in a sports match, bank account
- *account* – record of all changes in an item over a period based on business *transactions*
- purpose accounting
 - *keep track* of relevant economic events in a standardized fashion
 - *aggregate* the outcome and present them to investors in concise *financial statements*

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Account

▪ Transaction

- *transaction* – business event that transforms company wealth from one account to another

▪ T-Shape

- *sides* – *debit* (~ left), *credit* (~ right)
- positive increments are recorded on one side, negative increments on the other

Account Name	
<i>debit side</i>	<i>credit side</i>

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Account

▪ Double-Entry Accounting

- business transactions are *quid-pro-quo*:
 - you *get* something
 - you *give* something else
- each transaction affects two accounts:
 - one on the *debit* side
 - the other on the *credit* side
- due to double-entry bookkeeping the (accounting) “books” must always be *in balance*,
 $\Sigma \text{ debits} = \Sigma \text{ credits} \dots \forall t$

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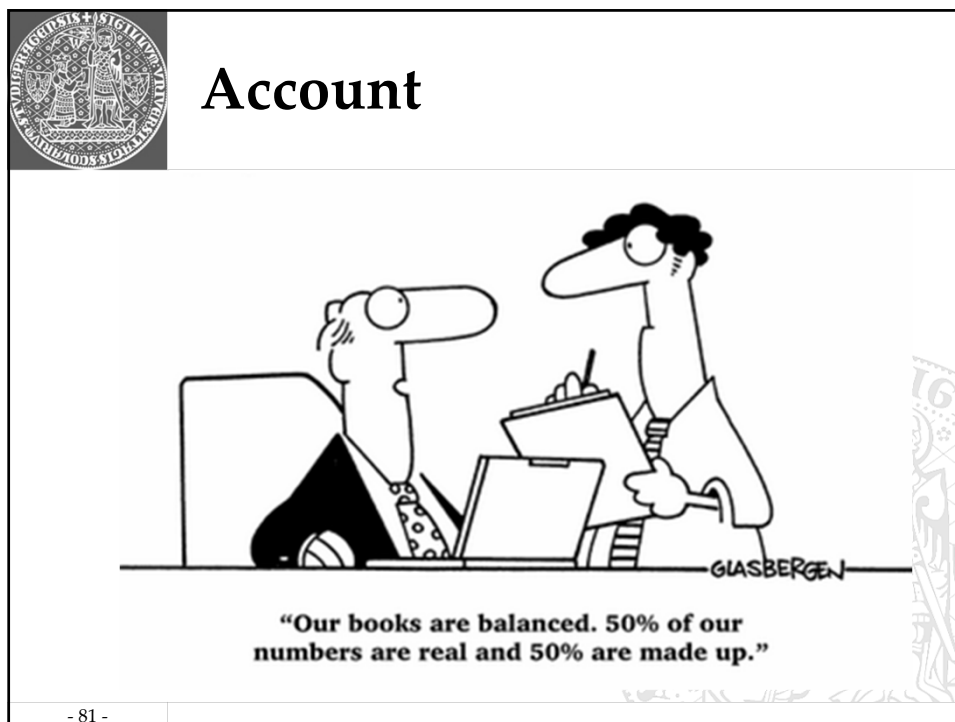
Account

▪ Credit vs. Debit

- *assets, expenses* – found on the debit side of BS of IS and so increases are recorded as debits (*Dr*) and decreases as credits (*Cr*)
- *liabilities, equity, revenues* – found on the credit side of BS of IS and so increases are recorded as credits (*Cr*) and decreases as debits (*Dr*)

Assets		Liabilities		Expenses		Revenues	
Inventories		Bank Loan		Cost of Goods Sold		Net Sales	
↑	↓	↓	↑	↑	↓	↓	↑
		Equity					
		Contributed Capital					
		↓	↑				

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Financial Statements

- **Balance Sheet**
 - *assets (As)* – what the company “owns”
 - *liabilities (Li)* – what the company *owes* to its creditors and business partners
 - *equity (Eq)* – what the company “owes” to its owners (i.e. shareholders)

Balance Sheet	
<i>assets</i>	<i>liabilities</i>
	<i>equity</i>

- 83 -



Assets



General Definition

“A useful or valuable thing or person, e.g. ‘quick reflexes were his chief assets’.”

Oxford English Dictionary

- 84 -



Assets

Accounting Definition

“A resource controlled by the enterprise as a result of past events and from which future economic benefits are expected to flow to the enterprise.”

International Financial Reporting Standards
(IFRS)

- 85 -



Assets

- **Accounting Definition** (narrower)
 - something that gives the firm future economic benefit *and* meets all of these three criteria:
 - results from past events
 - firm controls it (~ owns)
 - future economic benefits are reasonably certain
- **Examples**
 - e.g. land, buildings, machinery, equipment, vehicles, raw materials, finished products, receivables, cash, securities

- 86 -



Liabilities



Accounting Definition

“A liability is a present obligation of the enterprise arising from past events, the settlement of which is expected to result in an outflow from the enterprise of resources embodying economic benefits.”

International Financial Reporting Standards (IFRS)

- 87 -



Liabilities

- **Recognition Criteria**
 - *present obligations* – company is *liable* to transfer benefits to other parties (“liability”)
 - *probable future sacrifices of economic benefit* – liabilities can be seen as “negative assets”
- **Examples**
 - bank loans, corporate issued, accounts payable to suppliers, salaries payable, taxes payable

- 88 -



Equity

Accounting Definition

“Equity is the residual interest in the net assets of an entity that remains after deducting its liabilities”

Financial Accounting Standards Board (FASB)

- 89 -



Equity



- **Liquidation Perspective**
 - at *liquidation* assets are sold, cash is used to settle liability claims; whatever left belongs to owners
 - “net assets” = $Eq = As - Li$

Balance Sheet

<i>As</i> \$ 1 000	<i>Li</i> \$ 300 <i>Eq</i> \$ 700
-----------------------	--



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Financial Statements



Balance Sheet	
cash marketable securities accounts receivable inventories prepaid expenses	accounts payable accrued expenses notes payable & short-t. debt current maturity of long-t. debt unearned revenue
long-term investments property, plant & equipment intangible assets	long-term debt minority interest contributed capital retained earnings accum. other compreh. income

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Famous Quotes

Double-Entry Accounting
<i>"Double-entry bookkeeping is ... one of the most beautiful discoveries of the human spirit."</i> Johann Wolfgang von Goethe

- 92 -



Exciting Accounting

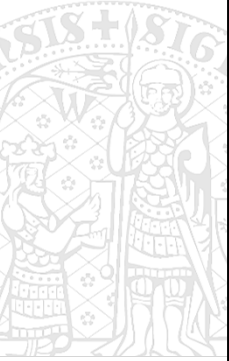


- ... good luck in the deep waters of accounting!



ABURNS

"This is so exciting!
I've never visited accounting before."



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Questions



Questions

▪ Mirror Accounts

- Call “mirror accounts” two accounts from opposite sides of BS with similar economic substance, but opposite function.
- When two companies make an operating transaction “mirror accounts” are affected one in the first company, the other in the second.
- Considering simplified BS identify 2 pairs of “mirror accounts” related to common operating activities.

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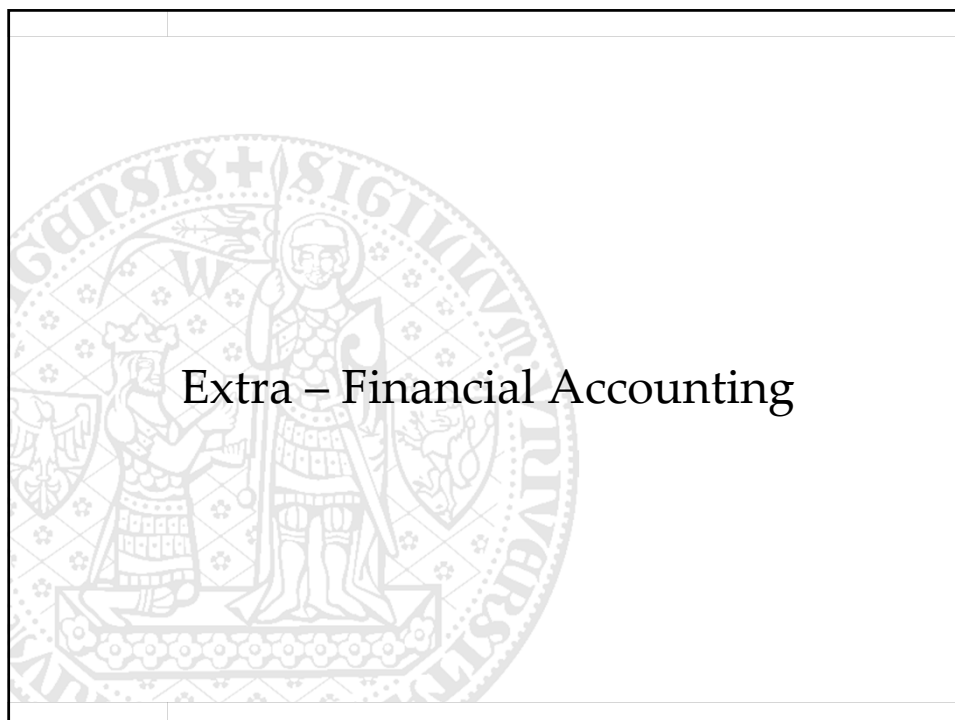
Questions



Balance Sheet

cash	accounts payable
marketable securities	accrued expenses
accounts receivable	notes payable & short-t. debt
inventories	current maturity of long-t. debt
prepaid expenses	unearned revenue
	long-term debt
	minority interest
long-term investments	contributed capital
property, plant & equipment	retained earnings
intangible assets	accum. other compreh. income

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Metaphors

- **Language of Business**
 - economic activity needs *co-ordination*
 - accounting is *language* of business conveying information about performance
 - understanding of language is crucial for effective interactions (Tower of Babel)



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Metaphors

- **Map**
 - financial statements can serve as a *map* that guides you through business environment
 - accounting used as a basis for company valuation, credit risk assessment, contracting, ...
- **Maze**
 - financial statements can also be a *maze* that perplexes users with its complexity
 - companies have incentives to manipulate accounting to impress investors

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Metaphors



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Accounting

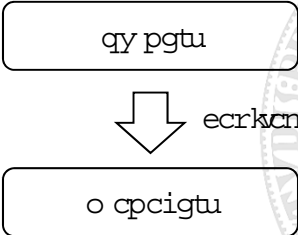
- **Definition**
 - information system that captures results of complex business activities and reports them in *parsimonious* and *standardized* manner in the form of financial statements
 - *parsimonious* – huge business complexity is reduced to several resulting numbers
 - *standardized* – quite diverse companies report in the same format (useful for comparison)

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Accounting

- **Importance**
 - accounting facilitates investment as commitment to *regular* reporting independently *audited* helps to build the necessary trust between:
 - *investors* (owners, creditors) who have capital
 - *managers* who have competence to use it



```

graph TD
    A[qy pgtu] -- ecrkcn --> B[o cpcigtu]
  
```

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Accounting

Transparency

*“Sunlight is the best disinfectant,
electric light the most efficient policeman.”*

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Accounting



Users of Accounting

“Financial reporting should provide information that is useful to present and potential investors and creditors and other users in making rational investment, credit, and similar decisions. The information should be comprehensible to those who have a reasonable understanding of business and economic activities and are willing to study the information with reasonable diligence.”

Financial Accounting Standards Board (FASB)

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Accounting



- **Reliability vs. Relevance**
 - *relevance* – capacity to make a difference in business decisions (does it matter?)
 - *reliability* – accuracy and verifiability of information (can we trust it?)
- **Owners vs. Creditors**
 - *owners* focus on relevance, because it helps them in determining company value
 - *creditors* emphasize reliability, which is crucial in evaluating “downside” risk

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Extra – Users of Accounting



Users



- **Purposes**
 - various users of accounting use the *language* for different purposes and have conflicting demands on *what* and *how* it should capture
- **Users**
 - *owners/analysts* – fundamental valuation
 - *creditors* – risk assessment
 - *managers* – business decisions, performance meas.
 - *tax authorities* – determining taxes
 - *regulators* – calibrating optimal regulation
 - ...

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Users



- **Conflicting Demands**
 - *accounting types* – prepare different types of accounting for different users
 - *prioritize some users* – needs of some users can be given a priority at the expense of others
 - *finding a compromise* – sometimes a compromise can be found that balances off various demands

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Types



- ☞ ▪ **Financial Accounting** (“*dating game*”)
 - for outside investors (owners, creditors)
 - general accounting standards aimed towards “true and fair” view
- **Tax Accounting** (“*begging game*”)
 - for tax authorities
 - rules based on local legislation, more conservat., more cash-based, less discretion & estimation
- **Managerial Accounting**
 - for managerial decisions, performance evaluation
 - no binding rules

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Priority

Usefulness of Accounting

“Financial reporting should provide information that is useful to present and potential investors and creditors and other users in making rational investment, credit, and similar decisions. The information should be comprehensible to those who have a reasonable understanding of business and economic activities and are willing to study the information with reasonable diligence.”

Financial Accounting Standards Board (FASB)

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Compromise



- **Reliability vs. Relevance**
 - *relevance* – capacity to make a difference in business decisions (does it matter?)
 - *reliability* – accuracy and verifiability of information (can we trust it?)
- **Owners vs. Creditors**
 - *owners* focus on relevance, because it helps them in determining company value
 - *creditors* emphasize reliability, which is crucial in evaluating “downside” risk

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Accounting Rules



“For years, we’ve been playing by old rules and the results have been dismal. It’s time for a bold new direction!”

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Extra – Assets & Liabilities



Assets

Accounting Definition

“A resource controlled by the enterprise as a result of past events and from which future economic benefits are expected to flow to the enterprise.”

International Financial Reporting Standards
(IFRS)



Assets

- **Past Events**

- specification of a past event differentiates assets from intentions to acquire assets (not recognized)
- existence of a past transaction implies a cost or value of an asset that can be measured reliably

- **Examples**

- *orders/agreements* – always $\nsubseteq$ assets until the agreed exchange takes place

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Assets



- **Control**

- ability of entity to benefit from the asset and to deny or regulate access of others to the benefit
- mostly (but *not always*) *ownership* implies control

- **Examples**

- *intellectual capital* – mostly $\nsubseteq$ assets – lack of company's control of its personnel
- *long-term leasing* – mostly $\subset$ assets – control over leased item owned by lessor transferred lessee

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Assets



- **Certainty**
 - reasonable *certainty* of future economic benefit
- **Example**
 - *intangible assets*
 - e.g. technical expertise developed by R&D, employee competence developed by training, customer loyalty acquired by PR & marketing
 - *internally developed* intangibles $\not\subset$ assets
 - result of *merger or acquisition* (M&A) $\subset$ assets

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Liabilities



Accounting Definition

“A liability is a present obligation of the enterprise arising from past events, the settlement of which is expected to result in an outflow from the enterprise of resources embodying economic benefits.”

International Financial Reporting Standards (IFRS)

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Liabilities

- **Recognition Criteria**

- *present obligations* – company is *liable* to transfer benefits to other parties (“liability”)
- *probable future sacrifices of economic benefit* – liabilities can be seen as “negative assets”

- **Examples**

- bank loans, corporate issued, accounts payable to suppliers, salaries payable, taxes payable

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Classification



- **Assets**

- assets are classified based on *liquidity*, i.e. ease with which they can be converted into cash
 - *current* (~ *short-term*)
 - *non-current* (~ *long-term, fixed*)

- **Liabilities**

- liabilities are classified based on *maturity*, i.e. time till they are due
 - *short-term*
 - *long-term*

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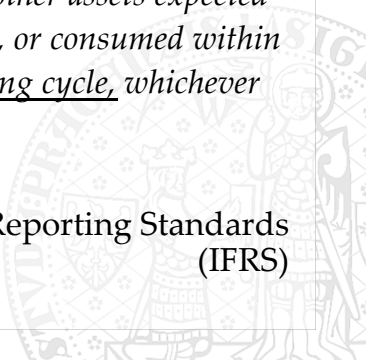
Classification



Accounting Definition

“Current assets are cash and other assets expected to be converted into cash, sold, or consumed within one year or within one operating cycle, whichever is longer”

International Financial Reporting Standards (IFRS)



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